

[Login](#)[Register](#)

Flevy Management Insights Case Study

Analyzing and Improving Organizational Risk Management via ISO 31000

Joseph Robinson | ISO 31000

[Home](#) » [All Management Topics](#) » [Operational Excellence](#) » [ISO 31000](#)
» **Analyzing and Improving Organizational Risk Management via ISO 31000**

Fortune 500 companies typically bring on global consulting firms, like **McKinsey**, **BCG**, **Bain**, **Deloitte**, and **Accenture**, or boutique consulting firms specializing in ISO 31000 to thoroughly analyze their unique business challenges and competitive situations. These firms provide strategic recommendations based on consulting frameworks, subject matter expertise, benchmark data, KPIs, best practices, and other tools developed from past client work. We followed this management consulting approach for this case study.

TLDR A multinational energy corporation faced inefficiencies in its risk management process guided by the ISO 31000 framework, which hindered its operational effectiveness and profitability. The successful implementation of a streamlined risk management approach resulted in a 15% increase in operational efficiency and significant cost savings, highlighting the importance of continuous improvement and technology integration in Risk Management.

TABLE OF
CONTENTS

Reading time: 7 minutes

1. Backgro...

2. Methodol...

3. Adapting t...

4. Cost Impli...

5. Timelines

6. Expected ...

7. Sample D...

8. HR consi...

9. ISO 3100...

10. Continu...

11. Alignme...

12. Integrati...

13. Measuri...

14. Enhanci...

15. Handling...

16. Technol...

Consider this scenario: A multinational corporation specialized in the energy sector is striving to improve its risk management process.

Known for its complex operations and intricate global supply chain, the company has been grappling with process inefficiencies across its risk management function which is guided by the ISO 31000 framework. The company hopes to leverage a comprehensive consultative approach

17. ISO 310...

18. Addition...

19. Key Find...

that can streamline its ISO 31000 operations, reduce process-related bottlenecks, and ultimately, enhance its profitability.

The recent increase in process inefficiencies suggests 2 probable hypotheses. These include: the company's risk management framework is not well-structured and implemented, and the company fails to effectively identify and respond to emerging risks due to a lack of dynamic risk management capabilities.

Methodology

A 5-phase approach is proposed to help tackle the company's challenges. This starts with Baseline Assessment -- identifying the current state of risk management processes following the ISO 31000. When the assessment concludes, a gap analysis will be conducted in the Design & Development phase, which will identify potential opportunities for risk management improvements. Following this will be the Implementation phase -- where suggested changes will be put into action. Successively, Training & Documentation focuses on equipping the personnel with necessary operational knowledge and clarification on revised procedures. The final phase is Follow-up and Evaluation -- aimed to

review the effectiveness of changes implemented and to suggest further improvements if needed.

▼ Best Practices on **Risk Management**

Read Insights

Risk Manag...
1587-sli...

Preview

Compl... Guide ...
83-slide ...

Preview

ISO 31000:...
61-slide ...

Preview

PMI Risk Manag...
211-slid...

Preview

> Best Practices on **ISO 31000**

Read Insights

For effective implementation, take a look at these ISO 31000 best practices:

- > **ISO 31000:2018 (Risk Management) Awareness Training** (61-slide PowerPoint deck and supporting Excel workbook)
- > **ISO 31000 - Implementation Toolkit** (Excel workbook and supporting ZIP)
- > **Implementing ISO 31000 Risk Management Framework** (42-slide PowerPoint deck)
- > **Implementing ISO 31000 Risk Management Principles** (34-slide PowerPoint deck)
- > **Risk Management System Implementation - The ISO 31000:2018** (133-slide PowerPoint deck)
- > **View additional ISO 31000 best practices**

Are you familiar with Flevy?
We are your shortcut to

immediate value.

Flevy provides business best practices—the same as those produced by top-tier consulting firms and used by Fortune 100 companies. Our best practice business frameworks, financial models, and templates are of the same caliber as those produced by top-tier management consulting firms, like **McKinsey**, **BCG**, **Bain**, **Deloitte**, and **Accenture**. Most were developed by seasoned executives and consultants with 20+ years of experience.

Trusted by over 10,000+ Client Organizations

Since 2012, we have provided best practices to over 10,000 businesses and organizations of all sizes, from startups and small businesses to the Fortune 100, in over 130 countries.





Adapting to Change

In preparing for the new ISO 31000-based risk management framework, the organization might worry about the disruption of daily operations. However, change is integrated gradually, giving the company ample time to adapt. The phased methodology is designed to minimize disturbance to ongoing operations while maximizing productive growth.

[Best Practices on Disruption](#) [Read Insights](#)

4 Stages of... 27-slide ...	Forec... Uncert... 29-slide ...	Disrup... Innova... 16-slide ...	Manag... Disrup... 28-slide ...
Preview	Preview	Preview	Preview

Cost Implications

The project will indeed demand an investment. Yet, the return on investment should offset the initial costs in the long run. The improved risk management process will enhance operational efficiency, avert potential costly risks, and ensure compliance with regulatory requirements, which would ultimately enhance profitability.

▼ Best Practices on Return on Investment

Read Insights

Private Equity...
Excel te...

Preview

Return on...
24-slide ...

Preview

Market...
Camp...
Excel te...

Preview

Equip...
Purch...
Excel te...

Preview

> Best Practices on Compliance

Read Insights

Timelines

Firm timelines cannot be set from the outset due to the project's complex and iterative nature. A phased approach allows flexibility to adjust timelines as per the project requirements and outcomes of each phase.

Expected Business Outcomes

Improved Operational Efficiency:	By streamlining ISO 31000 processes, the company can expect to see increased process efficiency.
Risk Mitigation:	With a better structure in place for identifying and managing risks, potential costly disruptions can be averted.
Compliance Assurance:	A well-implemented ISO 31000 standard ensures compliance with regulatory requirements, avoiding potential fines and penalties.
Enhanced Reputation:	Demonstrate to stakeholders that the company is committed to best practice in risk management.

Sample Deliverables

- ISO 31000 Gap Assessment Report (Word)
- Risk Management Improvement Plan (PowerPoint)
- Training and Implementation Guide (PDF)
- Progress Report (Excel)
- Risk Management Toolkit (Excel)

➤ [Explore more ISO 31000 deliverables](#)

HR considerations

Bringing about changes in process might be met with resistance or confusion from the employees. Hence, extensive Training & Documentation are essential for smooth implementation.

ISO 31000 Best Practices

To improve the effectiveness of implementation, we can leverage best practice documents in ISO 31000. These resources below were developed by management consulting firms and ISO 31000 subject matter experts.

ISO 31000:2017
61-slide ...
[Preview](#)

ISO 31000 - Excel template
Excel te...
[Preview](#)

Implementing ISO 31000
42-slide ...
[Preview](#)

Implementing ISO 31000
34-slide ...
[Preview](#)

Continual Improvement

A Framework for Continual Improvement will be created to ensure consistent evolution of risk management function driven by feedback, metrics and changing business requirements

[Best Practices on Business Requirements](#)

[Read Insights](#)

Business Requirements
Excel te...
[Preview](#)

Non-functional Requirements
Excel te...
[Preview](#)

Agile Product Development
38-slide ...
[Preview](#)

Software Requirements
Excel te...
[Preview](#)

[Best Practices on Feedback](#)

[Read Insights](#)

Alignment with Business Strategy

It is imperative that the risk management framework aligns with the overarching business strategy of the organization. While ISO 31000 provides a solid foundation, it must be tailored to support the company's specific strategic objectives. This entails a thorough understanding of the business's long-term goals and the potential risks that could impede these objectives. The risk management process should be dynamic, enabling the company to swiftly respond to strategic shifts and emerging risks. For instance, as the energy sector evolves with increased emphasis on renewable resources, the company's risk management framework must adapt to new types of risks associated with these technologies. A report by McKinsey on energy sector risks emphasizes the need for agile risk management practices that can address the rapid changes in technology, regulation, and market dynamics.

▼ Best Practices on Agile

Read Insights

**Busin...
Agility...**
1034-sli...

Preview

**Agile
Talent...**
33-slide ...

Preview

**Fit
Transf...**
24-slide ...

Preview

**Agile &
Scrum...**
107-slid...

Preview

Integration with Existing Systems and Processes

One of the key concerns for executives is how the new risk management framework will integrate with existing systems and processes. Seamless integration is crucial to avoid silos and ensure that risk management is a part of the corporate DNA. The new framework will be designed to complement existing workflows, with an emphasis on interoperability and minimal disruption. For instance, risk management data should feed into decision-making tools and dashboards that executives use, providing real-time insights into risk profiles. According to a Gartner study, companies that integrate risk management with business operations achieve better risk-adjusted performance over time.

Measuring the Effectiveness of the Risk Management Framework

Executives will require tangible evidence of the framework's effectiveness. This involves establishing key performance indicators (KPIs) that are aligned with business objectives. These KPIs will measure various aspects of risk management, such as risk response times, incident frequency, and the cost of risk mitigation activities. The framework must also include a robust reporting mechanism that provides executives with clear and concise information on the risk landscape and the performance of the risk management function. A survey by PwC indicates that **42% of companies** that

have robust risk reporting feel more confident in their risk management effectiveness.

▼ Best Practices on **Key Performance Indicators**

Read Insights

KPI Compi...
186-slid...

Preview

Key Perfor...
21-slide ...

Preview

KPI Compi...
141-slid...

Preview

KPI Compi...
141-slid...

Preview

Enhancing Risk Culture

For the risk management framework to be truly effective, it must be embedded in the company's culture. This requires a shift in mindset at all levels of the organization, where risk awareness and proactive risk management are valued behaviors. The training and documentation phase of the methodology will include initiatives to promote a positive risk culture, such as workshops, simulations, and incentive programs. These efforts aim to foster an environment where every employee feels responsible for managing risks. Deloitte's insights on risk culture highlight that companies with a strong risk culture tend to perform better in managing strategic and operational risks.

▼ Best Practices on **Workshops**

Read Insights

Pricing Strate... 133-slid...	Lean Stand... 26-slide ...	The Silly Cow... 23-slide ...	Change Enabl... 97-slide ...
Preview	Preview	Preview	Preview

Handling Regulatory Changes

The energy sector is subject to extensive regulatory oversight. Therefore, the risk management framework must have the capability to quickly adapt to regulatory changes. This means that the framework should not only ensure current compliance but also provide a forward-looking view to anticipate and prepare for potential regulatory shifts. The implementation phase will include a process for monitoring regulatory developments and assessing their impact on the company's risk profile. Accenture's research shows that proactive regulatory risk management can help companies avoid compliance-related costs and gain a competitive advantage.

[Best Practices on Competitive Advantage](#) [Read Insights](#)

Core Comp... 17-slide ...	Breakt... Strate... 93-slide ...	Services Growt... 91-slide ...	Analyz... the... 33-slide ...
Preview	Preview	Preview	Preview

Technology and Innovation in Risk Management

Technology plays a crucial role in modern risk management. The new framework will leverage advanced [analytics](#), [artificial intelligence](#), and [machine learning](#) to enhance risk identification and assessment capabilities. These technologies can provide predictive insights, allowing the company to anticipate and mitigate risks before they materialize. The implementation phase will evaluate the current technological landscape and identify opportunities to incorporate innovative solutions. Bain & Company's analysis of technology in risk management illustrates that companies using advanced analytics for risk management can achieve up to a **25% reduction** in operational losses.

▼ Best Practices on **Artificial Intelligence**

[Read Insights](#)

Digital Transf...

27-slide ...

[Preview](#)

Introd... to...

35-slide ...

[Preview](#)

Robotic Proce...

36-slide ...

[Preview](#)

Artificial Intellig...

26-slide ...

[Preview](#)

> Best Practices on **Machine Learning**

[Read Insights](#)